

decision as the head of You, Inc: how to develop and where to invest the company's human capital. "Human capital" refers to your abilities and skills, which you acquire genetically and through education. Through investing in education, job training, and business networking, you can build a large stock of human capital that can be mined by You, Inc. for many years, and perhaps generations, to come. Your human capital is converted into financial capital through the earnings and wages you receive during your work career. Hence, we measure your human capital through estimating the value of all your future earnings and wages. The greater your income prospects, the greater your human capital, and the greater the value of You, Inc.

In Table 1.8, the net worth numbers for the median American under age 35 tell a bleak tale. Yet one of the main ideas in this book is that when you are young, broke, and possibly in debt, you likely have 30 to 50 productive years of income-generating work ahead of you. Also, although some readers might find the prospect of so many years of work to be depressing, the fact is that the present or discounted value of this income can be in the millions of dollars. This is no different than any major publicly traded mining company or an oil producer that owns mines and wells that are deep underground and years away from producing any cashflow. It might take decades before they will generate any profits for the company, yet these same companies are allowed to display and value these assets on their balance sheet with the full blessing of financial accountants and securities regulators. Why should it be any different for You, Inc? Thus, I argue that the total asset and net worth values we just examined are understated. As you assess your net worth, the traditional accounting-approach balance sheet should be modified to include human capital along with tangible assets to truly reflect the value of You, Inc. (see Figure 1.2).

Going through the exercise of estimating the present value of your human capital can produce some surprising results—you may find out that you're worth much more in financial terms than you realized. Table 1.9 completes the simple exercise of calculating the value of a 30-year-old's human capital, assuming he will work for another 30 years and earn an inflation- and tax-adjusted salary of \$40,500. The value of his human capital is the sum of 30 years worth of salary, discounted back to the present day. Obviously the resulting figure varies